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China Economics

The “Six Networks” Arrive – Driving AI Buildout to Stabilize Investment

CITI'S TAKE

China is accelerating policy implementation to stabilize investment, with the recent launch of the Three Gorges waterway project (~RMB77bn), a significant AI buildout plan for data centers (~RMB2trn per [Bloomberg](#)), and a renewed push on urban renewal. These moves fill in the details of the “Six Networks” initiative, building on the NDRC’s pledge for >RMB7trn in such investment this year. Financing is not a concern, supported by the general budget, special government bonds, and dedicated policy tools. The urgency is clear following April’s sharp investment slowdown. While [early green shoots](#) are emerging, the path forward will likely be a K-shaped recovery led by new economy investment.

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What happened? – Policy implementation is accelerating to stabilize investment. [1] **Three Gorges Waterway:** Construction on the *Three Gorges new waterway project* was officially started on Jun 8th ([Xinhua](#), Jun 9th). As the first mega-project of [the 15th Five-Year Plan](#), it carries a total expected investment of RMB77.2bn over ~10 years. [2] **Data Centers & Power Grids:** Bloomberg ([Jun 9th](#)) reported that China is preparing to invest RMB2trn over the next five years in building *data centers*. Integrating *power grids* into this plan could expand the total investment to at least RMB5trn ([Bloomberg](#), Jun 9th). [3] **Urban Renewal:** The State Council issued guidance for urban renewal under the 15th FYP, setting explicit targets for redevelopment and the installation of underground pipes, among others ([Gov](#), May 28th). This series of announcements fills in the details of the “Six Networks” initiative, building on the NDRC’s earlier pledge for over RMB7trn in such investment this year ([People.com](#), Mar 9th) and a further push from [the April Politburo](#).

How to finance? – Fiscal funds could play a central role, likely through a combination of: [1] **general budget**, from which the central government has allocated RMB97bn for urban renewal ([SCIO](#), Jun 8th); [2] **special CGB for “two key projects”** (两重), with RMB160bn for underground pipes ([SCIO](#), Jun 8th) and likely for data centers ([Bloomberg](#), Jun 9th); [3] **policy-financing tool**, providing an initial RMB500bn in 2025 and RMB800bn in 2026; and [4] **government-guided funds**.

Why now? – These announcements come at a critical juncture for both cyclical and structural reasons. [1] **Cyclical:** With cumulative FAI growth [turning negative](#) in April, the policy urgency to stabilize investment is rising, despite steady headline growth. This aligns with [the year-end CEWC’s](#) explicit guidance to halt the investment decline. [2] **Structural:** The AI supercycle is unfolding in the economy, shifting the focus toward the necessary infrastructure buildout.

When would investment turn around? – Tentative signs of investment stabilization could have started to emerge. The [construction PMI](#) rebounded in May, [construction-related PPI](#) deflation eased, and cement mill operating rates improved throughout the month. While a broad pickup in FAI growth may take longer amid low domestic credit

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demand, new economy sectors—especially the “Six Networks”—could lead to a K-shaped recovery.

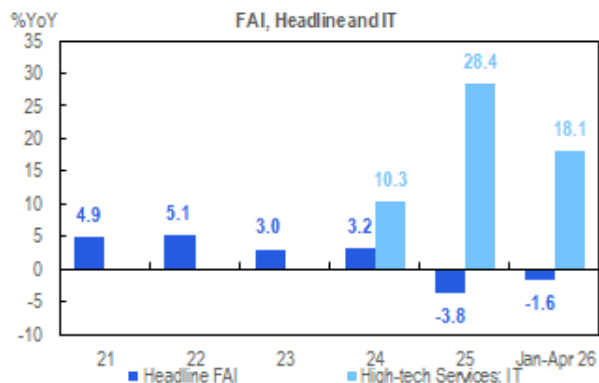
Figure 1. State Council has set explicit targets for urban renewal in its latest guidance

Urban Renewal Targets			
	Units	2021-25	2026-30
Urban Dilapidated Housing Redevelopment	k units	250	500
Old Town Redevelopment	k communities	240	115
Urban Village Redevelopment	units	4100	400
Underground Pipe Network Renovation Length	k km	250	365
Fiscal Funding			
		2025	2026
Central Gov. Budget	RMB bn	NA	97
Special CGB	RMB bn	135	160

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Source: Gov, SCIO, Citi Research

Figure 2. IT FAI has outpaced headline FAI and stayed buoyant in April



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